

STOCK PULSE

Maruti Suzuki India Ltd (MARUTI • NSE/BSE)

Sector: Consumer Discretionary | Pulse Score: 6/10 (MODERATE) | Data Confidence: 14/14 (HIGH) | Horizon: 10Y

01 Overview & Market Standing

CURRENT MARKET PRICE Rs. 12,849	52-WEEK HIGH / LOW Rs. 17,370 / Rs. 12,201
MARKET CAPITALISATION Rs. 4,04,945 Cr	PRIMARY SECTOR Consumer Discretionary
CMP (Rs. 12,849) is +5.3% above 52W Low (Rs. 12,201) and -26.0% below 52W High (Rs. 17,370) — trading in lower quartile (near 52W low) (13th percentile of 1-year band).	

02 Business & Operational Overview

The Company was established in 1981. A joint venture agreement was signed between the Government of India and Suzuki Motor Corporation (SMC), Japan in 1982. The Company became a subsidiary of SMC in 2002. It is the market leader in passenger vehicle segment in India. In terms of production volume and sales, the Company is now SMC's largest subsidiary. SMC currently holds 56.28% of its equity stake. The principal activities of the Company are manufacturing, purchase and sale of motor vehicles, components and spare parts.

03 Valuation Multiples & Benchmark Banding

PREMIUM

STOCK P/E RATIO 28.2	Fair Band: 17.7 - 23.9	PRICE TO BOOK (P/B) 3.77	BV: Rs. 3,408
DIVIDEND YIELD 1.09%	Face Value: Rs. 5	SECTOR BENCHMARK P/E 20.8	35.6% vs Sector

04 Mathematical Valuation Triangulation

DEMANDING

REVERSE DCF IMPLIED GROWTH 15.4%	WACC: 11.5%	10Y VALUATION QUANTILE 43th %ile	10Y Med: 29.5	EARNINGS POWER VALUE (EPV) Rs. 6,294.2	Growth Premium
-------------------------------------	-------------	-------------------------------------	---------------	---	----------------

Triangulation Narrative: At current enterprise value (Rs. 4,04,945 Cr), market prices in a 15.4% annual FCF growth rate for 10 years (WACC: 11.5%, Terminal: 4.5%). Trades at the 43th percentile of its 10-year valuation range [22.7 - 34.4], with 10Y median P/E at 29.5.
--

05 Peer Comparison & Recent Headlines

PEER COMPANY	P/E	ROCE	MARKET CAP	RELATIONSHIP
Mahindra & Mahindra Ltd	20.8	15.1%	Rs. 3,98,704 Cr	Industry Peer

Peer Selection Rationale: Discovered from exchange sector classification. Sector Benchmark P/E reflects peer basket median.

Recent Corporate News Headlines (Most Recent First):

- [1 Sept 2026] Maruti Suzuki is top Nifty 50 loser today - what's driving the fall? - Livemint - Livemint
- [1 Sept 2026] Maruti Suzuki India Share Price Fall: Price and Valuation - Univest - Univest
- [1 Sept 2026] Maruti Suzuki India sells 2.19 lakh units in August; FY27 cumulative sales up nearly 29% YoY - business-standard.com - business-standard.com

06 Growth & Operating Trajectory

SLOWING

REVENUE 3Y / 5Y CAGR 11.6% / 17.42%	TTM Sales: Rs. 1,97,181 Cr	PROFIT 3Y / 5Y CAGR 2.05% / 29.87%	TTM PAT: Rs. 14,334 Cr
EBITDA MARGIN PROFILE TTM: 11%	Latest Qtr (Jun 2026): 8%	NET MARGIN PROFILE TTM: 7.27%	Pre-Tax Bridge
TRAILING DILUTED EPS Rs. 455.91	3Y EPS CAGR: 2.05%	OPERATING CASH FLOW GROWING	Cash Flow Quality

Margin Bridge: TTM EBITDA margin (11%) reflects operating cash profitability before D&A; Net margin (7.27%) accounts for D&A, interest, and taxes.

07 5-Stage DuPont ROE Decomposition

Margin Pricing Power (Moat)

TAX BURDEN (PAT / PBT) 0.77	Earnings Retention Drag	INTEREST BURDEN (PBT / EBIT) 0.88	Financial Cost Drag
OPERATING MARGIN (EBIT / SALES) 10.7%	Core Business Profitability	ASSET TURNOVER (SALES / ASSETS) 1.32x	Asset Utilization Velocity
FINANCIAL LEVERAGE (ASSETS / EQUITY) 1.39x	Balance Sheet Gearing	RECONSTITUTED ROE 13.3%	Primary Driver: Margin Pricing Power (Moat)

DuPont Formula Identity: Tax (0.77) × Interest (0.88) × Margin (10.7%) × Turnover (1.32x) × Leverage (1.39x) = Reconstituted ROE (13.3%).

08 Working Capital & Cash Conversion Cycle (10Y Trend)

EXCEPTIONAL NEGATIVE WORKING CAPITAL

DEBTOR DAYS (DSO) 11 Days	Receivables Collection Period	INVENTORY DAYS (DIO) 31 Days	Stock Holding Period
DAYS PAYABLE (DPO) 61 Days	Supplier Credit Utilization	CASH CONVERSION CYCLE (CCC) -19 Days	Trend: CONTRACTING

Cash Conversion Cycle is -19 days (DSO 11d + Inventory 31d - Payables 61d). Trend: CONTRACTING.

09 Return on Incremental Invested Capital (ROIIC)

MARGINAL RETURN

3Y INCREMENTAL ROIIC (ROIIC) 2.3%	Spread: +9.2% over WACC	5Y INCREMENTAL ROIIC (ROIIC) 12.7%	Multi-year capital compounding
--------------------------------------	-------------------------	---------------------------------------	--------------------------------

Capital Deployment Efficacy: 3Y Incremental ROIIC stands at 2.3% (5Y: 12.7%). Management deployed Rs. 80,706 Cr of fresh invested capital to generate Rs. 1,879 Cr of incremental NOPAT.

10 Financial Health & Solvency (Aggregated)

WATCH

DEBT TO EQUITY (D/E) 0.0	HEALTHY (<=0.5)	INTEREST COVERAGE 82.87x	HEALTHY (>=5.0x)
CURRENT RATIO 0.67	WEAK (>=1.0)	FREE CASH FLOW TREND GROWING	HEALTHY

Solvency Context: Benchmark thresholds: D/E <=0.5 Healthy, Interest Coverage >=5x Healthy, Current Ratio >=1.0 Healthy. Sub-1.0 liquidity is common in heavy capex sectors when operating cash flow is positive.

FORENSIC ACCOUNTING & FINANCIAL STATEMENT INTEGRITY AUDIT

Mathematical screening across Beneish M-Score, Altman Z"-Score, Piotroski F-Score, and Sloan Accruals.

11 Beneish M-Score (8-Variable Manipulation Index)

MODERATE

DSRI (DAYS SALES IN RECEIVABLES) 1.08	Receivables vs Sales Velocity	GMI (GROSS MARGIN INDEX) 1.1	Margin Degradation Signal
AQI (ASSET QUALITY INDEX) 1.03	Non-Current Asset Capitalization	SGI (SALES GROWTH INDEX) 1.08	Top-line Expansion Acceleration
DEPI (DEPRECIATION RATE INDEX) 1.01	Asset Useful Life Extension	SGAI (SGA EXPENSE INDEX) 1	Administrative Cost Drag
LVGI (LEVERAGE INDEX) 1.06	Balance Sheet Debt Gearing	TATA (TOTAL ACCRUALS TO ASSETS) -0.032	Accounting Profit Accrual Drag
Beneish Result: M-Score = -2.04 Verdict: MODERATE (Moderate (10-25%) Manipulation Risk) Threshold: -1.78 (Safe <= -2.22)			

12 Altman Z"-Score (Emerging Market Solvency & Credit Risk)

SAFE ZONE

WORKING CAPITAL / ASSETS (X1) -0.094	Short-term Liquidity Cushion	RETAINED EARNINGS / ASSETS (X2) 0.719	Cumulative Reinvestment Power
EBIT / TOTAL ASSETS (X3) 0.142	Asset Earning Efficiency	BOOK EQUITY / TOTAL LIAB (X4) 2.568	Capital Structure Protection
Altman Result: Z"-Score = 5.38 Zone: SAFE ZONE Banding: Safe > 2.60, Grey 1.10 - 2.60, Distress < 1.10			

13 Piotroski F-Score (9-Factor Fundamental Quality)

7/9 STRONG

Positive Net Profit	PASS (+1)	Positive Return on Assets (ROA)	PASS (+1)
Positive Operating Cash Flow (CFO)	PASS (+1)	Cash Flow exceeds Net Income (Clean Accruals)	PASS (+1)
Leverage stable or decreasing YoY	PASS (+1)	Liquidity ratio stable or improving YoY	PASS (+1)
Zero equity share dilution YoY	PASS (+1)	Operating margin resilient YoY	FAIL (+0)
Asset turnover efficiency maintained YoY	FAIL (+0)		

14 Sloan Accrual Anomaly Ratio

CLEAN CASH CONVERSION

SLOAN ACCRUAL RATIO -3.41%	CLEAN CASH CONVERSION	ACCOUNTING ACCRUALS Rs. -4,766 Cr	PAT minus Operating Cash Flow
Accrual Finding: Accrual Ratio -3.4%: CLEAN CASH CONVERSION			

MOAT FACTOR	SCORE	QUALITATIVE / QUANTITATIVE EVIDENCE
Brand Power	2/2	Strong consumer brand equity and retail franchise recall.
Switching Costs	0/2	Low customer switching costs between discretionary brands.
Network Effects	0/2	Limited consumer network externalities.
Cost Advantage	1/2	Scale procurement and efficient vendor component ecosystem.
Regulatory License	1/2	Standard industrial certifications and consumer compliance.
Patents/IP	1/2	Proprietary product designs, platforms, and manufacturing tooling.
Scale Advantage	2/2	Mega-cap balance sheet (Rs. 4,04,945 Cr) drives structural procurement scale.

16 Ownership Structure & Management Trust

8/8 (HIGH) [HIGH >=7, MODERATE 4-6, LOW <4]

PROMOTER HOLDING 58.65%	Trend: RISING	INSTITUTIONAL FII / DII 12.82% / 25.09%	High Institutional
PROMOTER PLEDGING 0%	CLEAN	QUARTERLY TRACK RECORD 2 Qtrs Contraction	WATCH
STRENGTHS (+): +2 Regulatory compliance +1 Quarterly delivery consistency +1 Promoter stake >=50% with stable/rising trend +1 Pledging <5% +1 FII stake >=10% +1 Cycle resilience +1 Audit disclosure & GOVERNANCE TRANSPARENCY Zero governance penalties / clean track record.			

17 The Pulse Score & What-If Matrix

6/10 MODERATE PULSE

FAIL: 1 critical balance sheet or solvency red flags triggered.			
BASELINE FINANCIALS (TTM): Revenue: Rs. 1,97,181 Cr Net Profit (PAT): Rs. 14,334 Cr EPS: Rs. 455.91 Margin: 7.27% Dividend Yield: 1.09%			
SCENARIO (MATHEMATICAL MODEL)	REV CAGR	PROJECTED REVENUE (10Y)	PROJECTED PAT (10Y)
Bear Case (-5.0% vs Base 5.3% Margin)	9.5%	Rs. 4,88,659.4 Cr	Rs. 25,898.95 Cr
Base Case (Historical Avg 7.3% Margin)	14.5%	Rs. 7,63,694.97 Cr	Rs. 55,749.73 Cr
Bull Case (+3.5% vs Base 8.8% Margin)	18%	Rs. 10,32,012.93 Cr	Rs. 90,817.14 Cr
Total Return Model (Rs. 1,00,000 Investment): Based on Base Case Earnings (PAT) CAGR of 14.6% + Dividend Yield 1.09% (Total Return: 15.64% CAGR) over 10Y -> Approx Rs. 4,27,642. Sensitivity: Assumes constant valuation multiple (P/E 28.2 sustained). Mean-reversion to sector average (P/E 20.8) would adjust annualized return to 26.19% (Approx Rs. 3,15,331).			

PULSE SCORE 10-RULE AUDIT SCORECARD (PASS / FAIL BREAKDOWN):

01. Valuation within fair/attractive range	FAIL	02. Revenue 3Y growth trajectory robust (>=10% 3Y CAGR or steady)	PASS
03. Operating profit expansion solid (>8% CAGR & no consecutive drops)	FAIL	04. Solvency & liquidity balance sheet sound (zero watch/weak metrics)	FAIL
05. Return on Equity (ROE) exceeds 15%	FAIL	06. Return on Capital Employed (ROCE) exceeds 15%	PASS
07. Promoter shareholding stable/accumulating (or institutional backing >=40%)	PASS	08. Promoter shares unencumbered (pledge <=10%)	PASS
09. Defensible competitive moat (score >=5/14)	PASS	10. Management trust & capital allocation score >=4/8	PASS

Scoring Methodology: Pulse Score synthesizes 10 binary fundamental rules (Valuation, Growth, Profit expansion, Solvency, ROE, ROCE, Promoter trend, Pledging, Moat, Trust). Moat evaluates 7 structural barriers (/14). Management Trust evaluates 7 governance benchmarks (/8). Data confidence: 14/14 (HIGH).
Regulatory Disclaimer: Stock Pulse is an automated fundamental computational tool and does not issue buy, sell, or hold recommendations, nor price targets. Figures parsed directly from public filings (Screener.in, NSE, BSE) at generation time. Not investment advice.